

25SMCV04767 25SMCV04767

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-07-21

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SM%20%2CP%2C07%2F21%2F2026

Source SHA-256: 90f0aae250e7e80f33714e7f05efd47f0f063c074f3d576bf5be88e1acc4d072

Case Number: 25SMCV04767 Hearing Date: July 21, 2026 Dept: P

Tentative

Ruling

Vistancia

MP LLC, et al. v. Benchmark 2022-B35 Mortgage Trust, Case No. 25SMCV04767

Defendant's

Motion to Dismiss for Forum Non Conveniens

Hearing

Date: July 21, 2026

Background

On

September 12, 2025, Plaintiffs Vistancia MP, LLC and Martin Landis sued Defendant Benchmark 2022-B35 Mortgage Trust for declaratory relief. Plaintiffs are a group of investors who purchased real property with a loan through a Deutsche Bank subsidiary. (First Amended Complaint ("FAC"), ¶ 3.) Plaintiffs allege that the Deutsche Bank subsidiary sold the loan Defendant. (Ibid.) Plaintiffs allege that Defendant re-interpreted the Debt Service Coverage Ratio (DSCR) to add Defendant's expenses, lowering the DSCR below the 1.20 threshold required by the Loan Agreement, and effectively eliminating Plaintiffs profit on the investment. (First Amended Complaint, ¶ 6.) Plaintiffs seek to reverse this change.

On

September 12, 2025, Plaintiffs filed the initial complaint.

On

September 16, 2025, Plaintiffs filed the FAC.

On

September 30, 2025, Plaintiffs filed a motion for trial preference.

On October

14, 2025, Defendants filed a notice of removal, staying this case.

On April

29, 2026, the Federal Court denied jurisdiction and remanded the case.

On May 6,

2026, Plaintiffs filed a Motion for Trial Preference under Code Civ. Proc. § 1062.3(a), citing the Federal Court's remand. On June 11, 2026, the Court granted Plaintiffs' motion for trial preference.

On June 1,

2026, Defendant filed this motion to dismiss for forum non conveniens. On June 30, 2026, Plaintiffs filed opposition. On July 6, 2026, Plaintiffs filed a notice of errata and an amended opposition. On July 7, 2026, Defendants replied.

Arguments

Defendant

argues that the loan agreement at issue contains a forum-selection clause providing that any lawsuit arising out of the agreement is to be heard in state or federal court in New York County, New York. (Motion to Dismiss, p. 3.) Defendant argues that Plaintiffs' claim for declaratory relief falls within the forum selection clause because it is an action "arising out of or relating to this agreement." (Id. at p. 5.) Defendant argues that once the Lender exercises their option to select a New York forum, the forum selection clause is mandatory because the agreement waives plaintiffs' venue and forum non conveniens objections. (Id. at p. 6.) Defendant argues that Plaintiffs' allegations of Plaintiffs' loan servicer's residence in California and Defendant's contact with California do not defeat the forum collection clause and that Plaintiffs cannot show that enforcement of the forum selection clause is unreasonable. (Id. at pp. 6-8.) Finally, Defendant argues that even if the

forum-selection clause is construed as permissive, the traditional forum non conveniens factors require dismissal. (Id. at p. 10-13.)

In

opposition, Plaintiffs argue that the forum selection clause is only effective if Defendant first exercises the option to sue. (Opposition, p. 2.) Plaintiffs also argue that the forum-selection clause is permissive because it uses the word “may,” and does not contain any exclusivity language. (Id. at p. 3.) Plaintiffs argue that much of Defendant’s motion relies on an unsworn recital in the loan agreement that is contradicted by Plaintiffs’ sworn declaration. (Id. at pp. 4-5.) Defendant argues that California is the proper forum for this action because both Plaintiffs and Defendants are California citizens. (Id. at pp. 5-6.) Plaintiffs argue that KeyBank, the loan servicer, runs Defendant’s operation, and is based in California. (Id. at p. 8-10.) Plaintiffs argue that it would not be fair to dismiss this case and require that the matter be heard in New York because New York does not have a right to reciprocal attorneys’ fees in a contract action. (Id. at p. 9.)

In reply,

Defendant argues that Plaintiffs attempt to re-write the loan agreement to require that Defendant sue first in order to exercise the New York Forum option. Defendant argues that the provision allows the Defendant to exercise its forum selection right even when it is sued. (Reply, p. 1.) Defendant argues that Plaintiff focuses on the word “may,” while ignoring the rest of the sentence, which Defendants assert renders the provision mandatory. (Id. at p. 4-5.) Defendant argues that Plaintiff’s California-residency argument is irrelevant because it does not show unconscionability and because sophisticated business practices often involve selecting forums different from where the parties reside. (Id. at p. 6.) Defendant argues that Plaintiffs’ public policy argument is unavailing because the attorneys’ fees issue has not yet been raised and because there is no support for a finding that the public policy exception applies in this situation. (Id. at p. 8-9.) Finally, Defendant argues that traditional forum non conveniens factors favor New York. (Id. at p. 10.)

Request
for Judicial Notice

Defendant

requests notice of the complete loan agreement, Exhibit 1 to the Vanderfin Declaration, arguing that portions of the agreement are attached to the

operative complaint, so the full agreement is subject to notice per Scott v. J.P. Morgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 753.

Notice is
GRANTED.

Governing
Law

California

Code of Civil Procedure § 410.30 provides: "When a court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just." (Cal. Civ. Proc. § 410.30, subd. (a).) A mandatory forum selection clause is a clause containing "express language of exclusivity of jurisdiction." (Olinick v. BMG Entertainment (2006) 138 Cal.App.4th 1286, 1294.) A forum non conveniens motion generally requires the balancing of public and private factors. (Id.) However, where there is a mandatory forum selection clause, the test is simply whether application of the clause is unfair or unreasonable. (Id.) Thus, Courts typically enforce mandatory forum selection clauses unless they are found to be unfair or unreasonable. (Id.; see also Lu v. Dryclean-U.S.A. of California, Inc. (1992) 11 Cal.App.4th 1490, 1493.)

If a forum

selection clause is not mandatory, courts consider the private interests of the litigants and the interests of the public in litigating the matter in one forum or another. (Stangvik v. Shiley Inc. (1991) 54 Cal.3d 744, 751.) The moving party bears the burden of establishing both components in the analysis. (Ibid.) The trial court has considerable discretion to decide motions based on forum non conveniens. (Ibid.)

Discussion

There
is no requirement that Defendant sue first

The loan

agreement's forum selection clause states that "any legal suit, action or proceeding against lender or borrower arising out of or relating to this agreement may at Lender's option be instituted in any federal or state court in the City of New York, County of New York, pursuant to Section 5-1402 of the New York General Obligations Law . . ." (Venderfin Decl., Exhibit 1, p. 111, § 10.4(b).) It does not require that Defendant sue first to exercise its forum-selection option. If the clause required the Lender to file suit first, it would not say that the Lender has a forum-selection option in suits against the Lender, which are necessarily brought by another party. The forum selection clause is not inapplicable because Plaintiffs sued first.

The
Forum Selection Clause is Mandatory

A
mandatory forum selection clause contains "express language of exclusivity of jurisdiction, specifying a mandatory location for litigation." (Olinick v. BMG Entertainment, supra, 138 Cal.App.4th at 1294.)

The loan
agreement's forum-selection clause reads:

ANY LEGAL
SUIT, ACTION OR PROCEEDING AGAINST LENDER OR BORROWER ARISING OUT OF OR RELATING
TO THIS AGREEMENT MAY AT LENDER'S OPTION BE INSTITUTED IN ANY FEDERAL OR STATE
COURT IN THE CITY OF NEW YORK, COUNTY OF NEW YORK, PURSUANT TO SECTION 5-1402 OF
THE NEW YORK GENERAL OBLIGATIONS LAW, AND BORROWER WAIVES ANY OBJECTIONS WHICH IT
MAY NOW OR HEREAFTER HAVE BASED ON VENUE AND/OR FORUM NON CONVENIENS OF ANY SUCH
SUIT, ACTION OR PROCEEDING, AND BORROWER HEREBY IRREVOCABLY SUBMITS TO THE
EXCLUSIVE JURISDICTION OF ANY SUCH COURT IN ANY SUIT, ACTION OR PROCEEDING.
BORROWER DOES HEREBY DESIGNATE AND APPOINT: [Agent for Service of Process]"
(Venderfin Decl., Exhibit 1, p. 111, § 10.4(b).)

Defendant's
opposition focuses on agreement's use of the word "may," which is generally a
permissive word. However, in the context of the loan agreement's language waiving
the borrower's objections to venue and submitting the borrower to the
"exclusive jurisdiction" of a New York court, the word "may" is properly read
as part of the lender's option to exercise the forum selection clause, and not
as applicable to the entire section of the loan agreement. The lender's

forum-selection option does not become effective if and until the lender chooses to exercise it. If the option did not contain permissive language like “may,” the lender’s failure to exercise the option could be construed as waiver of its contractual right to litigate the case in New York. Here, the forum-selection agreement becomes mandatory once the lender exercises their option because it states that the borrower waives their forum non conveniens objections and “irrevocably submits to the exclusive jurisdiction” of the New York court.

Plaintiffs

also seemingly argues that the forum selection clause is invalid because it is an “unsworn recital,” but did not object to Defendant’s request for judicial notice. (Opposition, p. 4.) The loan agreement is properly noticed as the complete version of a contract described by the complaint, so there is no requirement that it be “sworn.” Additionally, any extrinsic evidence Plaintiffs submit is irrelevant to the Court’s interpretation of the forum-selection clause because Plaintiffs make no argument that the clause is ambiguous, nor does the Court find it to be open to multiple interpretations.

The

mandatory forum selection clause applies to “any legal suit or action proceeding against lender or borrower arising out of or relating to this agreement.” This complaint falls within that provision. Since the Court finds the agreement to be mandatory, the forum-selection clause is enforceable unless the Court determines it to be unfair or unreasonable.

a.

The

forum-selection clause is not unfair or unreasonable.

Plaintiffs

make no argument that the forum-selection clause is unfair or unreasonable, except for its argument that enforcing the forum-selection clause would be against California public policy. Instead, Plaintiffs argue that the parties are domiciled in California, entered into the agreement in California, and that venue is proper in California. Defendant does not dispute that, absent the forum selection clause, this Court is a proper venue for this action, but Plaintiffs cite no authority holding that the Court has the power to disregard a mandatory forum-selection clause simply because it also has jurisdiction over the matter. The Court finds that the forum-selection clause is not unfair or unreasonable.

b.

Public

Policy concerns do not justify denying Defendant's motion

Plaintiffs

argue that California's law allowing for recovery of attorneys' fees by the prevailing party if a contract only provides for one-sided fee recovery is a public policy reason to keep this case in California. However, they cite no statute or case law supporting a finding that California's fee reciprocity is a sufficient public policy concern to justify circumnavigating a mandatory forum-selection clause. A motion for forum non conveniens would never succeed if it could be defeated by differences in state law alone.[1]

Conclusion

Defendant's

Motion to Dismiss for Forum Non Conveniens is GRANTED.

This case

is DISMISSED.

[1] Neither party discusses the fact

that the loan agreement also contains a choice of law clause stating that the agreement is governed by New York law. California's attorneys' fees reciprocity would therefore likely be irrelevant. (See Venderfin Decl., Exhibit 1, p. 110-111, § 10.4(a).)